How to Find Outliers

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① IQR Method :

This method is used when data is not normal.

$$\text{lower_limit} = Q_1 - 1.5 * IQR$$
$$\text{upper_limit} = Q_3 + 1.5 * IQR$$

② 3 sigma rule:

This method is used when data is normal.

$$\text{lower_limit} = \mu - 3\sigma$$
$$\text{upper_limit} = \mu + 3\sigma$$

NOTE:

Handle outliers only if data has less than 5% outliers. If its above 5% dont do anything